

Fortuna Direction Funnel – Corrections & Usage Guidelines v3 (Aug 2026)

1. Global Macro (MAC-1..3)

MAC-1 (Global macro news) is a conditional event gate and regime overlay. On normal, non-event days it contributes no direction (`direction_weight = 0`) and only background context. On genuine event days (major Fed decisions, acute geopolitics, large crude shocks), allow a non-zero `direction_weight` for the OPEN ONLY, decaying to 0 by around 10:00 AM and always gated by PRE-3 (gap type) and ENG-1 (regime).

MAC-2 (US/Asia correlation plus GIFT cue) provides short-run bias for the opening gap and first 30–60 minutes, and a moderate weekly swing bias. It must not override intraday regime (ENG-1) and engine signals by itself. Implement its `direction_weight` as high for the open and first 30–60 minutes when cues align and VIX is in a normal band, then decay it to 0 after about 10:00 AM.

MAC-3 (DXY, US10Y, crude, gold) remains weekly and monthly swing context. Use non-zero `direction_weight` only at swing horizons. Intraday `direction_weight` for MAC-3 should be 0 so it does not drive single-session trades.

2. National News (NAT-1)

NAT-1 is a scheduled-event gate. Its primary outputs are trade or no-trade, IV-crush warnings, and reduced size. Direction should change only when there is a genuine consensus surprise, such as an unexpected election result or truly surprise policy shift. The default stance on RBI, Budget, and election-result days for intraday options is CAUTION or AVOID rather than aggressive directional trading.

3. Flows (FLO-1, FLO-2)

FLO-1 (FII/DII cash flow) must never be read on FII alone. Always compute `net(FII + DII)` and the DII absorption ratio; if they conflict, FLO-1 acts as context only with `direction_weight = 0` and `confidence_multiplier` less than or equal to 1. FLO-1 is structurally an end-of-day input for next-day and swing bias; same-day intraday `direction_weight` is 0, with `context_weight` used to frame risk-on or risk-off tone.

FLO-2 (participant-wise index open interest) must always be cross-checked with FLO-1 to separate hedge from directional shorts. Use FLO-2 as a confirmation layer that adjusts `confidence_multiplier` up or down, rather than as a standalone trigger for trades.

4. Pre-market Gates (PRE-1..5)

PRE-1 (India VIX) has `direction_weight` fixed at 0 across all horizons. It acts purely as a volatility gate, position-sizing tool, and premium or IV-crush context. Never trade VIX change directly; only use its level or percentile to decide whether to trade, how large to trade, and how wide stops should be.

PRE-2 (GIFT Nifty) is limited to opening-gap forecasting. Implement a basis-adjusted

implied gap with three buckets: small (absolute change below roughly 0.2%) treated as noise with `direction_weight = 0`; moderate (about 0.2–0.5%) with clean global context giving a moderate opening bias; and large (above about 0.5%) with clear overnight news giving a strong opening bias. After 9:15 AM, PRE-2 `direction_weight` should decay to 0 over the first 30–45 minutes (by around 10:00 AM). On purely domestic event mornings (Budget, RBI, large local policy), use PRE-2 as context only with `direction_weight = 0`.

PRE-3 (Gap behaviour) is implemented as a classifier that outputs a gap type (common, runaway, breakaway, exhaustion) and a recommended stance (trade with the gap, sit out, fade after rollover), plus a `confidence_multiplier` for that stance. Do not hard-wire continuation or fade percentages as fixed laws; keep them empirical and rolling per instrument.

PRE-4 (CPR) has two roles. CPR width is a pre-market day-type predictor (trend vs range) with `context_weight` greater than 0 and `direction_weight = 0`. CPR location (above top central, below bottom central, or inside the band) can carry a small `direction_weight` only when it is aligned with EMA, RSI, and VWAP bias. CPR must never act as the sole directional signal.

PRE-5 (weekday theta map) has `direction_weight = 0`. It outputs only GO or NO-GO decisions (for example, avoid new positions on Tuesday afternoon, reduced size on Wednesday), day-type (high volatility versus drift), theta or premium posture (buyer or seller headwind), and sizing bias.

5. Direction Engine (ENG-1..11)

ENG-1 (ADX plus Choppiness) is a pure regime gate with `direction_weight = 0`. When trend conditions such as low choppiness and rising ADX are met, set `confidence_multiplier` for momentum signals above 1. In chop, reduce `confidence_multiplier` for momentum modules or block trades altogether.

ENG-2 (EMAs across timeframes) can have high `direction_weight` when multi-timeframe EMA stack and slope agree with macro and flows and the regime gate. Crossovers should be treated as confirmation that increases `confidence_multiplier`, not as standalone trade triggers.

ENG-3 (RSI Cardwell ranges) must encode asymmetry explicitly. Ceiling rejection at the range ceiling is an exit or reduction, not an automatic short. Breakouts through the ceiling or floor are continuation signals in trend direction. Sideways ranges between roughly 40 and 60 reduce `confidence_multiplier` and bring `direction_weight` close to zero.

ENG-4 (MACD) is restricted to higher-timeframe trend filtering and confirmation. Raw low-timeframe crossovers, such as 5-minute MACD, should have `direction_weight = 0` and only affect timing slightly when higher timeframes already agree.

ENG-5 (Supertrend) is treated as a trend filter and dynamic trailing stop. Allow non-zero `direction_weight` only when Supertrend colour agrees with VWAP, EMA stack, and higher-timeframe bias, and the regime gate signals trend. Raw flips in choppy conditions must be ignored.

ENG-6 (Stochastic RSI) is a timing-only module with `direction_weight = 0`. It may only trigger entries when regime, bias, and location are already aligned; counter-trend crosses act as exit or ignore signals rather than reversal entries.

ENG-7 (VWAP) provides intraday bias and stop-loss framework. `Direction_weight` can be non-zero when price relative to VWAP agrees with EMA and RSI and regime gates, but confidence in the first 30 minutes should be reduced. VWAP bands are context only and should not be mean-reverted in strong trends.

ENG-8 (Volume and liquidity) has `direction_weight = 0`. Volume is a conviction multiplier on an existing directional call; liquidity is a binary tradeability gate for individual stock options.

ENG-9 (ATR) has `direction_weight = 0`. It informs volatility regime, stop distance, and position size only.

ENG-10 (Bollinger Bands plus squeeze) answers when a move is loading. Squeeze ON and FIRED states do not pick a side; direction must come from the squeeze histogram, volume, and higher-timeframe trend. Band touches in trends must not be treated as mean-reversion signals.

ENG-11 (Support and resistance plus options open interest walls) has `direction_weight = 0`. It defines locations where trades may trigger. Confluence zones, where three or more level types stack, increase `confidence_multiplier`. Role reversals (support becoming resistance or vice versa) gain conviction only when confirmed by volume and the rest of the cascade.

6. Direction Sequence Enforcement

Implement a strict pipeline: regime (ENG-1 and PRE-4 width) followed by higher-timeframe bias (ENG-2, ENG-3, macro and flows), then direction confirmation (ENG-4, ENG-5), location (ENG-11, ENG-7, PRE-4 location), timing (ENG-6 and PRE-3 opening range), conviction (ENG-8, ENG-9, ENG-10), and finally stop placement (ENG-7, ENG-5, ENG-9). If ENG-1 or PRE-4 indicate chop or wide CPR, block or sharply reduce confidence for fast oscillators and raw flip signals; in that state, mean-reversion trades around strong support and resistance and VWAP are allowed only with reduced size. If higher-timeframe EMAs and RSI disagree with intraday direction, enforce a WAIT state and do not allow low-timeframe triggers to override higher-timeframe regime.

7. Expiry & Weekday Map

Hard-code the current NSE and BSE expiry schedule: Nifty 50 weekly options on Tuesday and

monthlies on the last Tuesday; Sensex weekly options on Thursday and monthlies on the last Thursday; Bank Nifty monthly-only on the last Tuesday. Maintain this as a calendar module that feeds PRE-5. Use this calendar only to shape theta and gamma context such as day-type, expected volume, theta pressure, and premium posture. Do not convert day-of-week or month-of-year into directional tilt in the intraday score.

8. Statistics & Backtests

Treat all sharp percentages and correlations, such as gap continuation or fill rates, Supertrend follow-through, VIX–Nifty correlation, and FII/DII R-squared values, as empirical statistics stored in a database and updated over rolling windows per instrument. Do not hard-wire these figures as absolute laws. Use them to modulate confidence_multiplier and GO or NO-GO decisions, and periodically revalidate them as regimes and market structure evolve.